



Republic of the Philippines
HOUSE OF REPRESENTATIVES
Quezon City, Metro Manila

TWENTIETH CONGRESS
First Regular Session

HOUSE BILL NO. 6423



Introduced by Representative DE CARLO "OYO" L. UY

EXPLANATORY NOTE

Artificial Intelligence (AI) is rapidly transforming societies, economies, and institutions worldwide. From financial services and education to healthcare, agriculture, and public administration, AI has immense potential to improve productivity, efficiency, and quality of life, yet it also poses risks such as bias, privacy breaches, disinformation, job displacement, and cybersecurity threats. In the Philippines, the accelerating adoption of AI highlights the urgent need for a governance framework that balances innovation with safeguards for human rights, inclusivity, and national competitiveness.

This bill seeks to institutionalize a National Artificial Intelligence (AI) Council that will serve as the central body for guiding the country's AI ecosystem. It aims to embed ethical and human-centered principles in AI development and deployment, apply risk-based regulatory approaches, and require transparency and accountability in AI systems. The measure also promotes AI literacy, workforce reskilling, and inclusive innovation through collaboration among government, industry, and the academe.

The measure is fully aligned with the Philippine Development Plan (PDP) 2023–2028 and its Midterm Update (2025), particularly Chapter 8 on advancing research, technology, and innovation; Chapter 6 on strengthening education, training, and lifelong learning; Chapter 11 on modernizing production sectors; and Chapter 15 on regulatory efficiency and digital transformation.

By fostering responsible adoption of AI, the bill ensures that technological progress contributes to national productivity and competitiveness while safeguarding the rights and welfare of Filipinos.

In view of the foregoing, the immediate passage of this bill is earnestly sought.


DE CARLO "OYO" L. UY
Representative
First District, Davao del Norte



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AN ACT

ESTABLISHING A RISK-BASED FRAMEWORK FOR THE DEVELOPMENT, DEPLOYMENT, AND USE OF ARTIFICIAL INTELLIGENCE IN THE PHILIPPINES; SAFEGUARDING FUNDAMENTAL RIGHTS, PRIVACY, CONSUMER PROTECTION, CYBERSECURITY, AND FAIR COMPETITION; PROMOTING INNOVATION AND NATIONAL COMPETITIVENESS; AND FOR OTHER PURPOSES

Be enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

1 **SECTION 1. *Title.*** – This Act shall be known as the “Responsible Artificial Intelligence Act
2 of 2025.”
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4 **SECTION 2. *Declaration of Policy.*** – It is the policy of the State to:
5

- 6 (a) Ensure AI is human-centric, lawful, ethical, and trustworthy;
7 (b) Protect privacy and data protection under RA 10173;
8 (c) Guard against cyber threats under RA 10175;
9 (d) Uphold consumer and IP rights;
10 (e) Enable innovation and inclusive growth pursuant to the National AI Strategy
11 Roadmap (NAISR) 2021 and NAISR 2.0 (2024); and
12 (f) Align with emerging international best practices.
13

14 **SECTION 3. *Scope and Application.*** – This Act applies to AI Providers (developers,
15 importers, distributors) and AI Deployers (users/operators in government or private sector)
16 that place on the market, make available, or use AI systems in the Philippines. Extraterritorial
17 application follows RA 10173 principles for processing of personal data of persons in the
18 Philippines.
19

20 **SECTION 4. *Definition of Terms.*** – As used in this Act:
21

- 22 (a) *AI System* – a machine-based system that is designed to operate with varying levels of
23 autonomy and that may exhibit adaptiveness after deployment, and that, for explicit
24 or implicit objectives infers, generates, predicts, or recommends content, decisions, or
25 outcomes influencing physical or virtual environments;
26 (b) *General-Purpose AI (GPAI)* – a model capable of a wide range of tasks (e.g.,
27 foundation/generative models).
28

(c) *High-Risk AI* – AI whose use can significantly affect health/safety, fundamental rights, or critical infrastructure.

(d) *Deployers/Providers* – as defined in Sec. 3.

(e) *Child-Oriented AI* – AI systems intended for or likely to be accessed by children (Special duties apply).

SECTION 5. *Risk Classification.* – As classified in this Act:

(a) Prohibited AI Practices (see Section 6)

(b) High-Risk AI – includes systems for:

1. biometric identification and categorization;
2. essential public services eligibility (e.g., social protection, credit scoring at scale);
3. employment and education profiling/assessment;
4. medical devices/clinical decision support;
5. critical infrastructure and transport safety;
6. law enforcement and border control decision-making;
7. pervasive content platforms with large-scale personalization that materially affects information access;
8. Administration of justice and democratic processes, wherein:
 - a. The AI system is to be used by a judicial authority or on their behalf to assist such judicial authority in researching and interpreting facts and the law, and in applying the law to a concrete set of facts, or to be used in a similar way in alternative dispute resolutions, including, but not limited, to arbitral tribunals and other quasi-judicial authorities;
 - b. The AI system is intended to be used for influencing the outcome of an election or referendum or the voting behavior of natural persons in the exercise of their vote in elections or referenda; and
9. GPAI models above thresholds set in IRR (e.g., significant compute, model capability).

(c) Limited-Risk AI – recommender systems, chatbots, and typical enterprise analytics not falling in (b)

(d) Minimal-Risk AI – office automation, spam filters, etc.

SECTION 6. *Prohibited AI Practices.* – It shall be unlawful to develop, deploy, or make available AI systems that:

- (a) Exploit vulnerabilities of a specific group (e.g., children, persons with disabilities) causing likely physical or psychological harm;
- (b) Conduct social scoring of natural persons by public authorities leading to detrimental or unfair treatment;
- (c) Enable real-time remote biometric identification of persons in public spaces for indiscriminate surveillance, except as authorized by court order for specific, serious crimes under narrowly tailored conditions;

- (d) Enable the use of AI systems that create or expand facial recognition databases through the untargeted scraping of facial images from the internet or CCTV footage;
- (e) Grant access to or enable the synthesis materially nefarious information or design capabilities related to chemical, biological, radiological, or nuclear ("CBRN") weapons or other dangerous materials or agents, except when conducted through legitimate governmental programs;
- (f) Use deceptive AI to fabricate or distribute deepfakes for fraud, election manipulation, or defamation without required labeling and provenance per Sec. 12.

SECTION 7. *The National AI Council (NAIC).* – The NAIC is hereby established , which shall be composed of the following:

- (a) Secretary of the Department of Information and Communications Technology as the Chairperson;
- (b) Chairperson of the National Privacy Commission (NPC) as member;
- (c) Secretary of the Department of Health (DOH) as member;
- (d) Secretary of the Department of Labor and Employment (DOLE) as member;
- (e) Secretary of the Department of Science and Technology (DOST) as member;
- (f) Secretary of the Department of Energy (DOE) as member;
- (g) Secretary of the Department of Transportation (DOTr) as member;
- (h) Secretary of the Department of Justice (DOJ) as member;
- (i) Secretary of the Department of Education (DepEd) as member;
- (j) Chairperson of the Commission on Higher Education (CHED) as member;
- (k) Director-General of the Intellectual Property Office of the Philippines (IPOPHL) as member;
- (l) Chairperson of the Philippine Competition Commission (PCC) as member;
- (m) Governor of the Bangko Sentral ng Pilipinas (BSP) as member;
- (n) The Commissioner of the National Telecommunications Commission (NTC) as member;
- (o) Two (2) representatives from the local government unit (LGU);
- (p) One representative from the academe as member;
- (q) One representative from the industry as member;
- (r) One representative from the labor organization as member; and
- (s) One representative from civil society organizations as member.

The NPC shall continue to exercise its exclusive mandate over matters relating to personal data processing; the IPOPHL over intellectual property; the PCC over competition; and sector regulators over safety and other sector-specific mandates.

The NAIC shall issue coordinated guidance and joint circulars in implementing this Act.

SECTION 8. *Obligations for High-Risk AI.* – Providers must, before market release or deployment:

- (a) Perform a Fundamental Rights & Data Protection Impact Assessment (FR-DPIA) that integrates DPA and NPC AI Advisory requirements (privacy by design, fairness, transparency, child-oriented safeguards);
- (b) Implement a Risk Management System and Quality Management System;
- (c) Ensure training/validation data governance (provenance, representativeness, bias testing, lawful sources);

- (d) Prepare and publish a Model Card / System Card (intended use, limits, evaluations, known risks, red-teaming results);
- (e) Provide technical documentation to regulators and deployers, including copyright-relevant disclosures sufficient for rights management and lawful use;
- (f) Build logging, auditability, and human-in-the-loop controls;
- (g) Register the system in the Philippine AI Registry operated by DICT; and
- (h) Establish incident reporting within 72 hours to DICT/NPC for material incidents (safety, security, privacy, consumer harm).

SECTION 9. *Duties of Deployers (All Risk Levels).* – Deployers are mandated to:

- (a) Use AI as intended by the provider; conduct a contextual risk assessment; implement human oversight; train staff; and maintain usage logs;
- (b) Where personal data are involved, comply with RA 10173, NPC issuances, and conduct/append a privacy impact assessment; and
- (c) For decision systems that significantly affect individuals (e.g., employment, benefits, credit), provide meaningful notice, key logic/inputs, and an accessible avenue for human review/appeal.

SECTION 10. *General-Purpose AI (GPAI) and Model Providers.* – GPAI/model providers meeting capability/compute thresholds set by the NAIC in the IRR shall:

- (a) publish model cards with evaluations (safety, bias, cybersecurity, systemic risks);
- (b) provide downstream documentation for integrators;
- (c) implement security-by-design and content provenance (e.g., C2PA-style signatures/watermarking) compatible with privacy and security; and
- (d) disclose, on a confidential basis to regulators, high-level descriptions of training data sources and data governance sufficient to assess legality and risk (without requiring disclosure of trade secrets).

SECTION 11. *Children and Vulnerable Persons.* – AI systems intended for or likely accessed by children must follow heightened transparency, age-appropriate design, profiling limits, and impact assessments, consistent with NPC Advisory 2024-03/04 and the DPA.

SECTION 12. *AI-Generated and Synthetic Content or “Deepfakes”.*

- (a) *Disclosure.* Deployers distributing synthetic media to the public shall include clear, machine-readable labels and user-visible notices that the content is AI-generated or edited, except where editorial necessity applies with contextual notices (e.g., satire) as specified in the IRR.
- (b) *Provenance.* Platforms above thresholds shall implement reasonable technical measures (e.g., metadata, signatures) to support provenance and detection, consistent with cybersecurity and privacy.
- (c) *Election and Public Safety Windows.* During periods defined by COMELEC or NAIC, stricter rules on rapid takedown and provenance may be imposed to prevent fraud and harm.

SECTION 13. *Government Use of AI.* – Public sector AI must comply with this Act and the DICT/CSC Joint Memorandum Circular on Ethical and Trustworthy AI in Government (or its successor), including human oversight, explainability, records management, public registers of government AI systems, and procurement standards that require model and data documentation and testing for bias and security.

SECTION 14. *Intellectual Property and Copyright.*

(a) Nothing in this Act alters the Intellectual Property Code; authorship remains with natural persons unless otherwise provided by law.

(b) IPOPHL shall, within 12 months, issue guidance on AI-assisted works, training data and text/data mining (TDM) exceptions/licensing pathways, and fair use interaction, considering ongoing IPOPHL initiatives.

SECTION 15. *Competition and Antitrust.* – The Philippine Competition Commission (PCC) shall address anti-competitive conduct in AI markets (e.g., exclusionary data deals, compute cartels, self-preferencing). NAIC and PCC may issue joint guidance.

SECTION 16. *Security, Cybercrime, and Critical Infrastructure.* – AI systems used in critical infrastructure shall comply with cybersecurity baselines; material incidents must be reported per Sec. 8(8) and RA 10175 IRR. The DICT, NTC, and sector regulators shall set incident severity tiers and share threat intel with the National CERT.

When a crime punishable by the Revised Penal Code or other Special Criminal Laws is committed using an AI System, such crime shall be considered to be a cybercrime within the context of R.A. 10175, otherwise known as the Cybercrime Prevention Act of 2012.

For the purposes of initiating criminal complaints, the NAIC may coordinate with the Department of Justice and other Government Offices and Agencies for the prosecution of offenses in the ordinary course of law.

SECTION 17. *Sandboxes and Innovation Support.* – The DICT and DTI shall establish regulatory sandboxes for startups, SMEs, cooperatives, and LGUs to test AI with time-bound waivers and guardrails, aligned with NAISR 2.0.

SECTION 18. *Testing, Conformity Assessment, and Registration.*

(a) NAIC shall accredit testing labs and conformity assessment bodies;

(b) High-Risk AI must obtain a Certificate of Conformity prior to deployment in the Philippines; and

(c) DICT shall operate a Philippine AI Registry for transparency (public summaries) and supervision (confidential technical filings).

SECTION 19. *Transparency to Individuals.* – Individuals affected by significant AI-mediated decisions shall receive:

(a) timely notice of AI use;

(b) a concise explanation of key factors;

(c) a means to contest with human review; and

(d) dedicated help channels.

SECTION 20. *Data and Record-Keeping.* - Providers/Deployers shall maintain technical logs, datasets documentation, and risk files; retain for at least 5 years (or sector-specific requirement), subject to the DPA and records rules.

SECTION 21. *Reporting of Serious Incidents and Malfunctions.* - Mandatory notification to DICT/NPC within 72 hours for incidents causing or likely to cause death/serious injury, significant financial loss, large-scale privacy breach, or systemic misinformation; NAIC may publish anonymized advisories.

SECTION 22. *Enforcement, Sanctions, and Remedies.*

(a) *Administrative.* Graduated fines by entity size and gravity; corrective orders; suspension or market withdrawal of systems; and public notices;

(b) *Civil.* Aggrieved persons may seek damages under existing laws; collective redress mechanisms may be recognized in the IRR; and

(c) *Criminal.* Knowingly deploying prohibited AI under Sec. 6 or recklessly endangering life via AI may be penalized with imprisonment of six (6) months to six (6) years and/or fines of ₱500,000 to ₱10,000,000, without prejudice to RA 10173/10175 penalties.

SECTION 23. *Cross-Border Cooperation.* - The NAIC shall establish cooperation with foreign authorities and standard-setting bodies, and may recognize foreign certificates where equivalent.

SECTION 24. *Appropriations.* - An initial funding of ₱2.5 billion to DICT (supervision, registry, labs), ₱500 million to NPC (AI privacy oversight), and ₱500 million to DTI/BOI (innovation grants) is hereby appropriated and thereafter included in the GAA.

SECTION 25. *Implementing Rules and Regulations (IRR).* - Within 180 days, NAIC shall promulgate IRR in consultation with stakeholders, and issue: (1) risk taxonomy updates; (2) compute/model capability thresholds for GPAI; (3) provenance/labeling technical standards; and (4) DPIA templates.

SECTION 26. *Separability Clause.* - If any provision is declared unconstitutional, the remainder shall not be affected.

SECTION 27. *Repealing Clause.* - All laws, decrees, executive orders, rules and regulations inconsistent with this Act are hereby amended or repealed accordingly.

SECTION 28. *Effectivity.* This Act shall take effect fifteen (15) days after its publication in the Official Gazette or in a newspaper of general circulation.

Approved.